India's most valuable unicorn is edtech startup Byju's, valued at $21 billion (Rs 1.57 lakh crore) as of August this year and ranked #15 globally. Another is food tech firm Swiggy, valued at $6 billion (Rs 45,000 crore), which connects consumers to over 185,000 restaurants across 500 cities. Dream11, a fantasy sports firm, has 140 million users on its platform and is valued at $8 billion (Rs 60,000 crore). Fintech firms have also made a mark—as a result of a massive spurt in online stock trading and investing triggered by the millions of people stuck at home through the lockdowns, firms like brokerage Zerodha and crypto exchange CoinSwitch Kuber have become hot startups.

What underlies it all is the soaring adoption of smartphones and improved internet connectivity in recent years. Industry estimates suggest India will see a massive increase in the number of smartphones in use by 2023, up to 650-700 million. According to a report from the Internet and Mobile Association of India, the number of active internet users is also expected to soar, from 622 million in 2020 to 900 million in 2025. "Unlike the old days, when we had to build everything from scratch, today, a lot of the infrastructure for setting up a company already exists," Nandan Nilekani, chairman of Infosys, recently told Bloomberg. "The challenge [for businesses] is to succeed before somebody else does better. Speed and execution are becoming ever more vital." When it comes to fintech, in FY 2020-21, India saw 26.85 billion transactions through UPI-based (unified payment interface-based) platforms, worth Rs 49.7 lakh crore, according to the National Payments Council of India. Experts say factors like these remind investors of what they saw in China and other emerging economies—a precursor to massive value creation by internet and software companies.

For most businesses, 2021 was as challenging as 2020, if not more, since it also saw thousands of lives lost in the second wave of the pandemic. This was a period that tested the resilience of Indian companies and their tactics to keep their customer bases intact as the economy reopened, and how they went about raising enough capital to sustain their expansion plans. It is based on these attributes that we have identified four unicorns that have had an exceptional year, perhaps more so than traditional brick-and-mortar titans like Mukesh Ambani's Reliance Industries or Gautam Adani's Adani Group. While a handful of large corporates put together mega deals during the pandemic, the surge in online business has been phenomenal, with $34.5 billion (Rs 2.6 lakh crore) pumped into the startup ecosystem by investors in 2021, more than double the $13 billion (Rs 97,500 crore) in 2020. Four startups had an especially good year—Zomato, Nykaa, PharmEasy and RazorPay.



HEMANT MISHRA

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–NANDAN NILEKANI
Chairman, Infosys

Tapping the capital markets: One of the most significant events in recent stock market history in India has been the record number of firms that came forward to raise money from the public, even as the BSE Sensex crossed the 60,000 mark in September. Indian stock markets saw 63 companies launching IPOs (initial public offerings) in 2021—compared with 15 in 2020 and 16 in 2019—and raising a collective Rs 1.18 lakh crore. There are many